Optimal Dynamic Pricing With Preferences for Novelty

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November 10, 2026

Motivation

- Firms have more access than ever to consumer information
- Allows for targeted discounting based on preferences derived from repeat interactions
- Targeted discounts allow firms to steer consumers toward particular products.

How do firms price based on repeated interactions with consumers and how are profits affected?

Research Question

How can firms price discriminate via consumer preferences for novelty and habit and how much is information about these preferences worth?

How do I answer?

- Solve a theoretical model to understand firm's behavior
- Estimate consumer's preferences with Nielsen data, recovering the distribution of novelty/habit preferences
- Use the estimated distribution in the pricing model to understand how firm's revenues are impacted by this sort of targeting

Literature

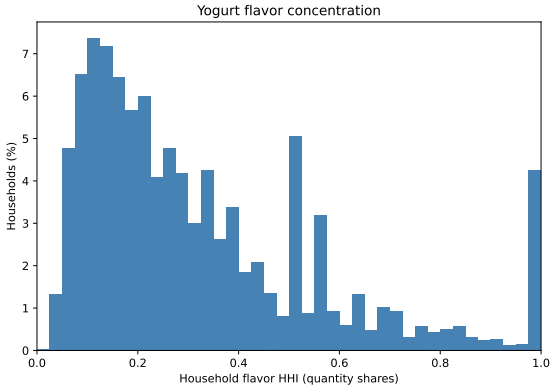
Targeting:

- Dubé (2008)
- Dubé et. al (2022)
- Anand & Shachar (2009)
- Karle & Reisinger (2024)
- Durrmeyer, Fournel, Samano (2026)

Estimating preferences for novelty:

- Dubé (2004)
- Dubé et. al (2021)
- Chintagunta (1999)
- Lattin (1987)
- McAllister (1982)
- Ackerberg (2003)

HHI



Flavor Popularity

Supply Setting

- Monopolistic firm producing a single product j
- Firm is profit maximizing, setting prices according to that objective
- A consumer is born into the world with a type $r \in \{H, L\}$, determining how much utility they derive from switching and an initial state $h_0 \in \{0, j\}$
- Consumers live for two periods, purchasing the inside good or opting for the outside good in each period
- The firm knows initial states and types, setting prices to individual consumers by type and history

Consumer's Problem

$$V_{jt}^{inside} = \underbrace{\beta}_{\text{Constant}} + \overbrace{\gamma_r \mathbb{1}\{h=0\}}^{\text{Utilty from Switching}} - \underbrace{\alpha p_t(h)}_{\text{Price Disutility}}, \quad V_{0t}^{Outside} = \underbrace{\gamma_r \mathbb{1}\{h=j\}}_{\text{Utility from Switching}}$$

$$v_t(x) = V_{jt}^{inside} - V_{0t}^{outside} = \beta + \underbrace{\gamma[\mathbb{1}\{h=0\} - \mathbb{1}\{h=j\}]}_{q(h)} - \alpha p_t(h)$$

- Prices, set by the firm, and switching utility depend on history $h = x_{t-1}$
- Utility for the outside good is normalized to zero

Firm's Problem

$$\pi_t(h) = \max_{p_t(h)} s_t(h)[p_t(h) - c]$$

$$\Pi(h) = \underbrace{s_1(h)(p_1(h) - c)}_{\text{Margin in Period 1}} + \underbrace{\delta\{s_1(h)\pi_2(j) + (1 - s_1(h))\pi_2(0)\}}_{\text{Continuation Value}}$$

- Firm profits are comprised of period one margins, given history of consumption, and the value of that consumer in the different states in period two
- The firm will set prices according to consumer type and history to maximize expected profit

First Period Optimization

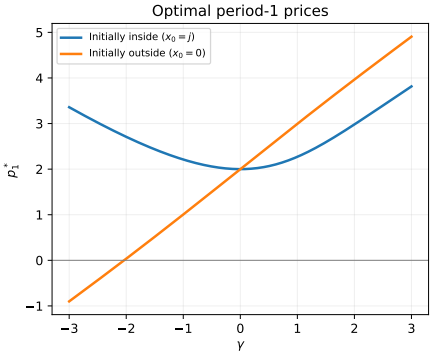
$$\frac{d\Pi}{dp_1(h_0)} = s_1 + \frac{\partial}{\partial p_1(h)} s_1(h_0)[p_1(h_0) - c + \delta(\pi_2(j) - \pi_2(0))]$$

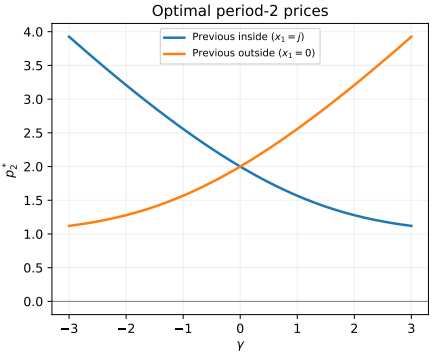
$$p_1^*(h_0) = c + \frac{1}{\alpha(1 - s_1^*(h_0))} - \delta(\pi_2(j) - \pi_2(0))$$

$$\Pi^*(h) = \delta\pi_2(0) + \frac{s_1^*(h_0)}{\alpha(1 - s_1^*(h_0))}$$

Terminal FOC Comparative statics Elasticities

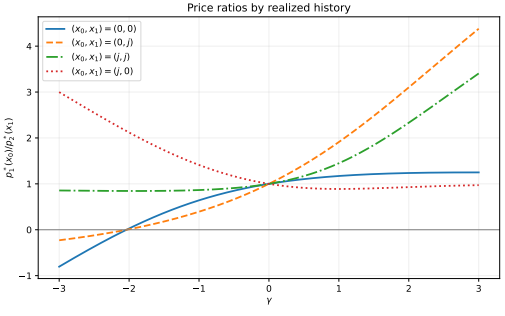
Optimal Prices

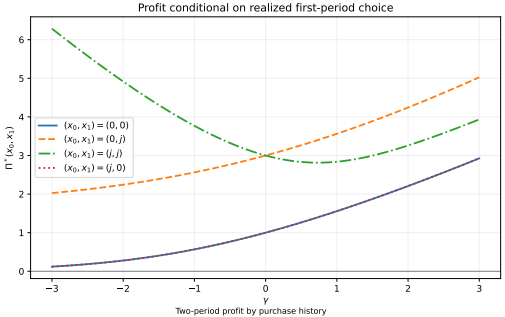




Calibration Table Profit Price ratio Discussion

Optimal Price Ratios and Profit





$\delta = 1$: no discounting. Flavor is j; outside is everything except that flavor.

▸ Optimal prices ▸ Profit detail ▸ Price-ratio detail

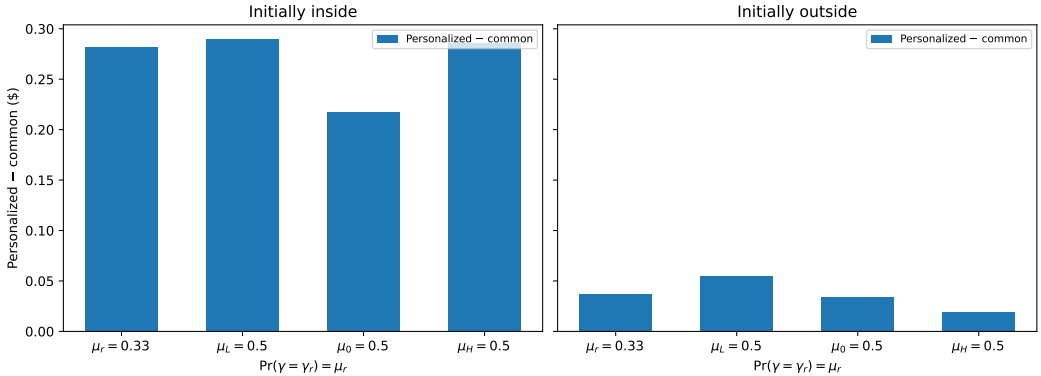
Information Friction: Fixed Beliefs about Switching Type

- Initial purchase history is observed.
- $\gamma_L = -1.25$, $\gamma_0 = 0$, $\gamma_H = 1.25$.
- $\Pr(\gamma = \gamma_r) = \mu_r$, $r \in \{H, 0, L\}$. Equal case: $\mu_r = 0.33$.
- Other cases: each permutation of $(0.50, 0.25, 0.25)$.
- Type probabilities stay fixed in both periods, after either purchase outcome.
- Offers depend on observed history; there is no learning about type.

$$s_t(h) = \sum_r \mu_r \, s_t(h \mid \gamma_r),$$

$$\pi_2(h) = \max_{p_2(h)} s_2(h) \, [p_2(h) - c].$$

Personalized vs Common Pricing



Profit levels Price paths Price paths

Data Sources

Nielsen HomeScan

- Provides household level purchase data
- Covers years 2006-2015
- Products chosen, quantity chosen, timing of trips

Nielsen RetailScan

- Provides store level product data
- For specified product category: prices, markets, product attributes

Sample Description

- Must be single-person household
- Must be seen at least 2 times
- Purchases must be made at Nielsen store (prices available)
- Flavor attribute must be present

Activity

Sample Statistics: Demographics

Table: Summary statistics: full sample and yogurt sample

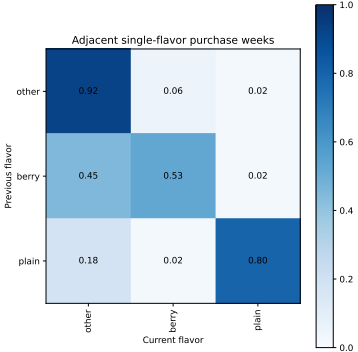
	Full sample	Yogurt sample
Sample and purchase activity		
Households	37,827	15,106
Mean observed panel years	3.96	3.16
Mean trips per approximate observed week	2.27	0.11
Mean distinct UPCs per household	1,178.31	13.89
Mean head age	45-49	50-54
Mean household income	$30,000-$35,000	$35,000-$39,999
Race: White (%)	80.33	81.58
Race: Black (%)	12.81	12.15
Race: Asian (%)	1.57	1.57
Race: Other (%)	2.19	2.11
Hispanic (%)	3.10	2.59

Switching Stats

Table: Matched yogurt sample: purchase dynamics

metric	value
Matched households	15106.00
Observed yogurt purchase weeks	282648.00
Mean flavors bought per household	1.93
Mean household flavor HHI (0 to 1)	0.78
Mixed-flavor weeks (%)	17.45
Weeks above seven packages (%)	21.72
Eligible adjacent single-flavor week pairs	48166.00
Switch rate in eligible pairs (%)	12.85
Mean single-flavor spell length (consecutive calendar weeks)	1.22
Median gap between purchase weeks	3.00

Persistence Across Aggregated Flavor Groups



Plain repeats in approximately 80% of eligible transitions, versus 53% for berry.

Demand Setting and Objective

- Consumers can either purchase the inside good, a flavor of yogurt, or the outside good, not yogurt
- Following Nevo (2001), a week contains seven choice opportunities with observed flavor purchases treated as fulfilling an opportunity
- Define outside good as $\max(0, 7 - \sum_j x_{jt})$, or the difference in purchases and a full week
- Consumers differ in preferences for novelty and price sensitivity, but derive the same base utility from the three flavor categories
- Goal: Recover distribution of novelty preferences

Demand Model

$$U_{ijt} = \beta_0 + \beta_j X_{jt} + \gamma_i N_{ijt} + \phi_i H_{ijt} + \alpha_i p_{jt} + \varepsilon_{ijt}, \qquad U_{i0t} = \varepsilon_{i0t}.$$

Household i's share of yogurt purchases in flavor j in week t is

$$w_{ijt} = \frac{y_{ijt}}{\sum_k y_{ikt}}.$$

Novelty

$$N_{ijt} = \begin{cases} 1 - w_{ij,t-1}, & \text{if yogurt bought in } t-1, \\ 0, & \text{otherwise.} \end{cases}$$

Habit

$$H_{ijt} = \sum_{s<t} w_{ijs}.$$

Estimation

$$P_i(\theta) = \int P(y_i \mid \nu, \theta)\ \phi(\nu)\, d\nu$$

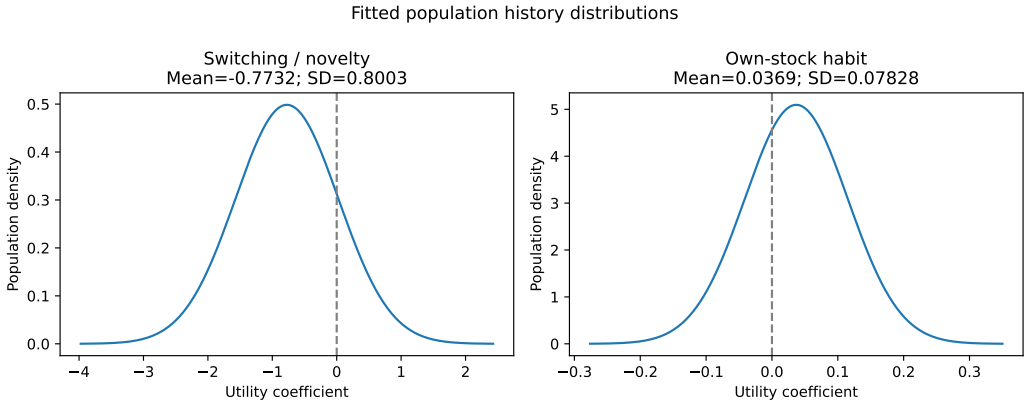
$$\widehat{P}_i(\theta) = \frac{1}{128} \sum_{r=1}^{128} \prod_{t=1}^{T_i} P(y_i \mid \nu_{ir}, \theta) \qquad \nu_{ir} \sim \mathcal{N}(0, I)$$

$$Q_{128}(\theta) = -\sum_{i=1}^{N} \log \widehat{P}_i(\theta)$$

- ν_i captures unobserved heterogreneity, y_{it} represents observed choice, $\theta = \{\beta, \gamma, \phi, \alpha\}$ is the vector of heterogeneous demand parameters
- 128 draws per household from a normal distribution
- 3 starts at different starting values, keep lowest objective
- Minimize negative log-likelihood

Probabilities Price controls Controlled estimates First stages

Distributions



Estimates Discussion

Implied Willingness to Pay

Table: Implied willingness to pay without price controls

Utility term	Mean WTP	Population SD
Inside constant β_0	2.7474	2.7716
Berry vs. other	-1.4085	1.4210
Plain vs. other	-0.6137	0.6192
novelty	-1.7451	3.1116
own stock	0.0833	0.2647

- Would need to be subsidized to switch, though lots of variation
- Willing to pay to continue consuming their same product

Controlled WTP

Connecting Supply and Demand

Supply Theory

- Today's pricing offer changes tomorrow's demand
- Single product firm pricing to attract customers against outside option
- Maintain two-period timing with initial state

Empirical Demand

- Employ estimated preference for novelty
- Access observed purchase histories
- Novelty and habit both enter demand

How well does the theory map to what is observed in the data?

Complete Information: Type-Specific Offers

- The firm observes each consumer's switching type and whether they started with plain or outside.
- In the coupon exercise, we recover types from purchase histories and use the bottom and top quartiles as the low and high groups.
- The firm chooses the initial offer p_1 and can revise the terminal offer p_2 after observing the first-period choice.
- Both periods receive equal weight ($\delta = 1$).

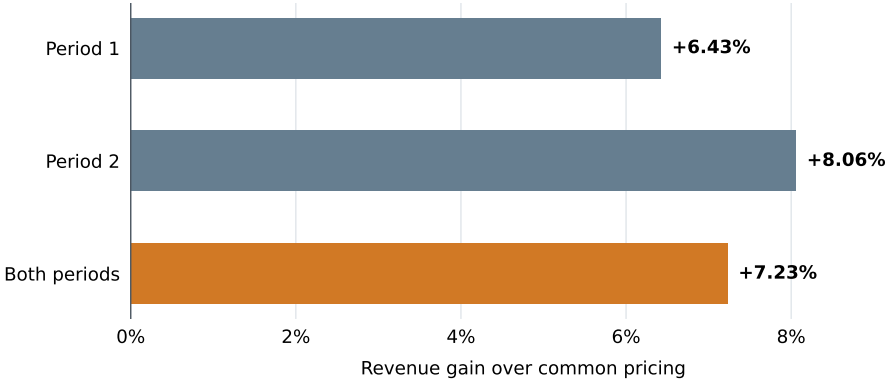
What If Switching Type Is Hidden?

- The firm sees purchase history, including whether the consumer started with plain or outside.
- It knows the distribution of low, medium, and high switching types. In the calibrated model, each type uses its group's mean novelty coefficient.
- The consumer's type persists across periods. The firm's type probabilities stay fixed after the first-period choice.

Common Pricing When Type Is Hidden

- Choose a single offer for all types with the same observed history to maximize expected two-period revenue.
- The offer can vary with the starting state and with the observed first-period choice.
- For the price-path comparison, the firm assigns probability $1/3$ to each type.

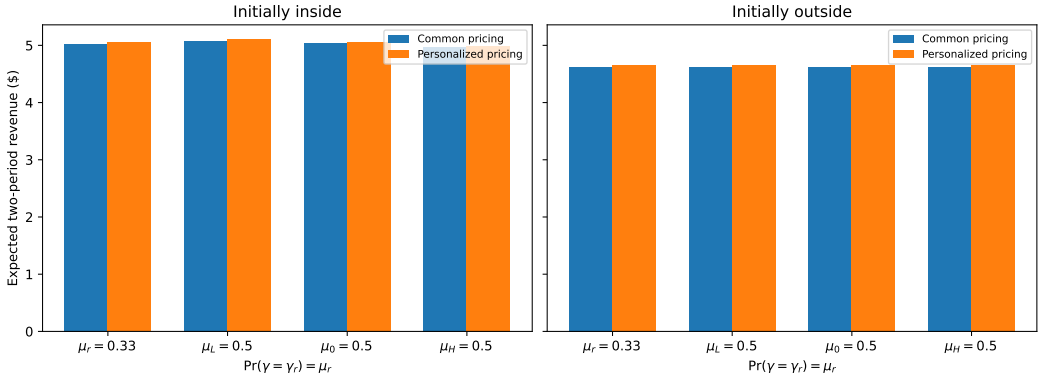
Plain: Revenue Gain from Personalized Pricing



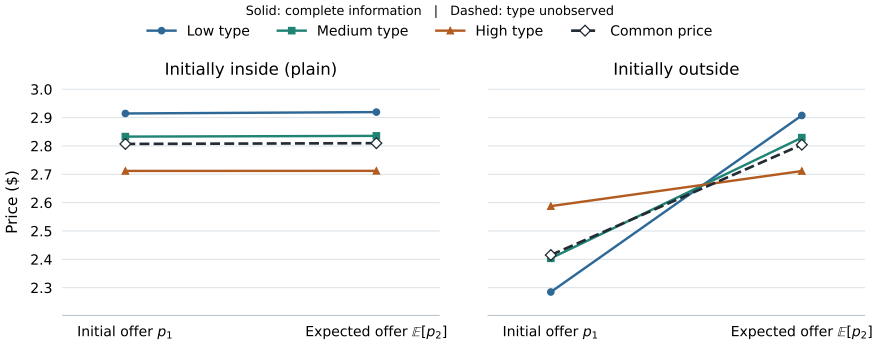
Coupon exercise for plain.

Plain types

Plain: Revenue with Observed or Hidden Types



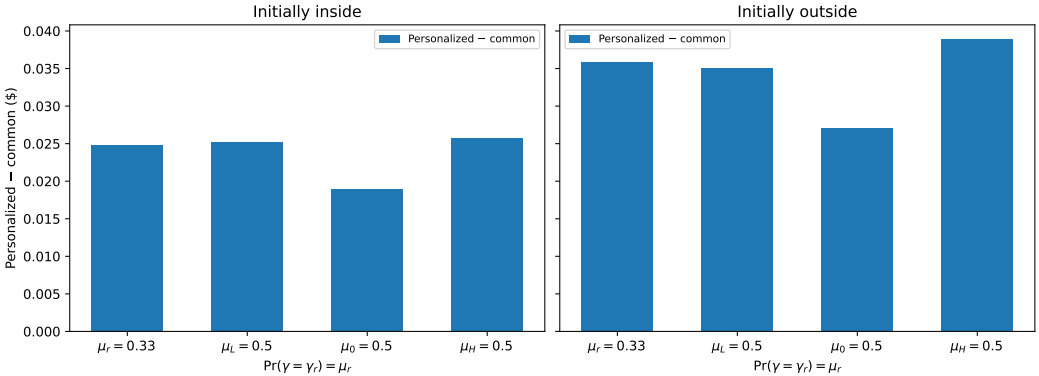
Plain: Type-Specific and Common Price Paths



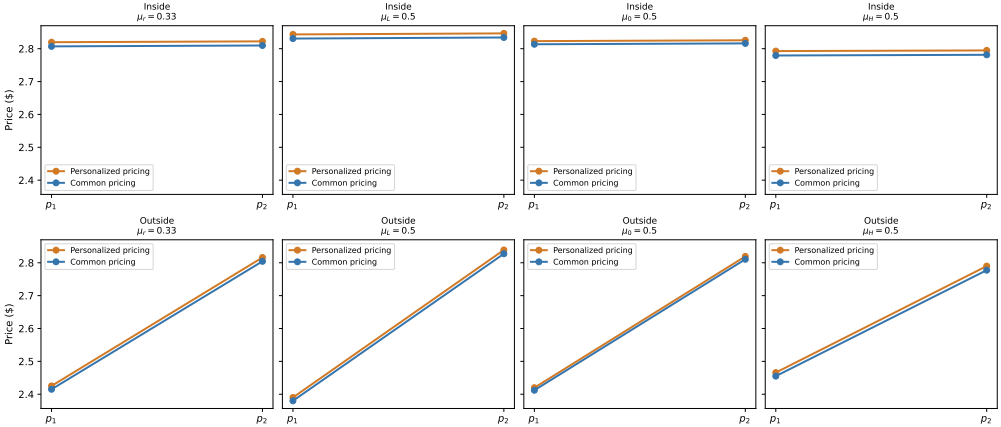
Common offers use equal type probabilities. Terminal offers are averaged over first-period choices.

▸ Coupon offers

Plain: Personalized vs Common Pricing



Plain: Price Paths under Type Uncertainty (p_1 to p_2)



Plain: Expected Revenue by Initial State and Prior

Initial state	Prior	Personalized pricing	Common pricing	Difference
j	Equal types	5.0508	5.0259	0.0249
0	Equal types	4.6564	4.6205	0.0358
j	Low type more likely	5.1033	5.0781	0.0252
0	Low type more likely	4.6501	4.6151	0.0350
j	Medium type more likely	5.0584	5.0396	0.0189
0	Medium type more likely	4.6553	4.6282	0.0271
j	High type more likely	4.9906	4.9649	0.0257
0	High type more likely	4.6637	4.6248	0.0389

j denotes plain and 0 denotes the outside option.

Conclusion

- For plain, personalized pricing raises simulated two-period revenue from \$11,615.34 to \$12,455.27 (+7.23%)
- Consumers experience disutility from switching, needing to be subsidized $\approx \$1.75$ to switch products
- Consumers enjoy habit and would be willing to pay $\$0.083$ to contribute another unit to the product's share of purchase history

Next Steps

- Add firm learning to supply side
- Extend market structure on supply
- Add more product attributes to empirical estimation
- Estimate unobserved quality in BLP fashion

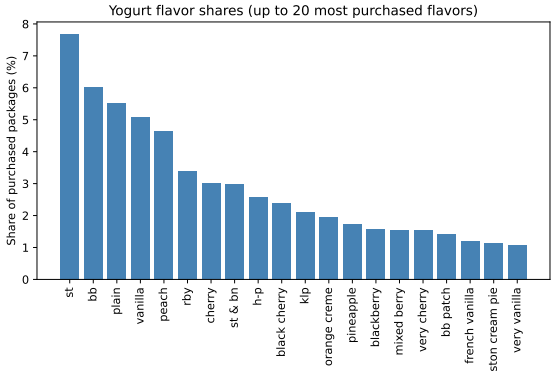
Sample Statistics: Purchase Activity

	Full sample	Yogurt sample
Households	37,827	15,106
Observed panel years	3.96	3.16
Trips per household	493.13	20.26
Trips per observed week (approx.)	2.27	0.11
Distinct UPCs per household	1,178.31	13.89
Purchase lines per household	3,397.64	45.15
Packages per household	4,669.07	93.77

All statistics except household counts are means.

Back to Data Sources

Flavor Popularity



Back to HHI

Optimal Terminal Price and Profit

$$\frac{\partial \pi_2(h_1)}{\partial p_2(h_1)} = s_2(h_1) + (p_2 - c)\frac{\partial s_2(h_1)}{\partial p_2(h_1)}$$

$$p_2^*(h_1) = c + \frac{1}{\alpha(1 - s_2^*(h_1))}$$

$$\pi_2^*(p_2^*(h_1); h_1) = \frac{s_2^*(h_1)}{\alpha(1 - s_2^*(h_1))}$$

- Optimal period two price is cost plus a demand markup term
- Period two profit at optimal prices is the odds of purchase, scaled by the inverse price sensitivity

Back to First Period Optimization

Optimal Profit Given Switching Type

$$\frac{d\Pi}{d\gamma} = \frac{q(h)s_1^*(h) - \delta s_1^*(h)s_2^*(j) + \delta(1 - s_1^*(h))s_2^*(0)}{\alpha}$$

- There are two interpretations:
  1. If $h_0 = j$, $q(h) < 0$, leading us to ambiguous signage as we raise profits from initially outside consumers but see opposing forces for the initially inside: leave in period one, return in period two
  2. If $h_0 = 0$, $q(h) > 0 \Rightarrow \frac{d\Pi}{d\gamma} > 0$, meaning that profits increase as γ increases
- Points to firms potentially reaping great benefit from knowing consumer types and histories

Back to First Period Optimization

Shares and Elasticities

$$s_t(h) = \frac{e^{v_t(h)}}{1 + e^{v_t(h)}}, \;\; s_{0t}(h) = 1 - s_t(h)$$

$$\frac{\partial s_t(h)}{\partial p_t(h)} = -\alpha s_t(h)(1 - s_t(h))$$

$$\frac{\partial s_t(h)}{\partial \gamma} = q(h) s_t(h)(1 - s_t(h))$$

Back to First Period Optimization

Pricing Simulations Specification

Parameter	Description	Value
β	Inside-good intercept	2
α	Price sensitivity	1
δ	Discount factor (no discounting)	1
c	Marginal cost	0
γ	Switching preference	$[-3, 3]$
Initial Consumption State		$h_0 \in \{0, j\}$
Feasible Prices		$p_t(h) \in \mathbb{R}$

- Allow for negative pricing
- Firm has knowledge of both type and history, allowing for targeted pricing
- Four consumption histories possible $(h_0, h_1) \in \{(0,0), (0,j), (j,j), (j,0)\}$

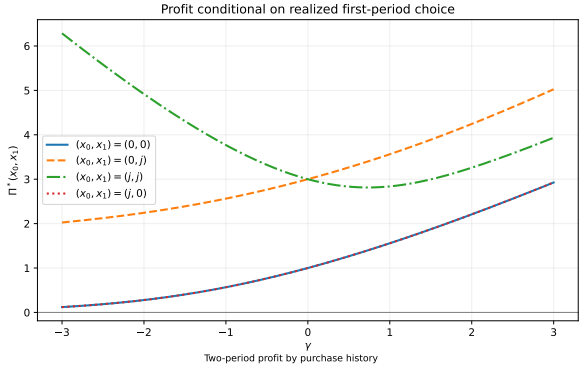
Back to Optimal Prices

Results

x_0	γ	p_1^*	$p_2^*(j)$	$p_2^*(0)$	Π^*	$\Pi^{*\prime}$
j	-3	3.358	3.926	1.120	5.284	-1.445
j	-1	2.211	2.557	1.567	2.768	-0.993
j	0	2.000	2.000	2.000	2.000	-0.500
j	1	2.271	1.567	2.557	1.838	0.177
j	3	3.814	1.120	3.926	2.934	0.730
0	-3	-0.901	3.926	1.120	1.026	0.177
0	-1	1.005	2.557	1.567	1.562	0.376
0	0	2.000	2.000	2.000	2.000	0.500
0	1	2.995	1.567	2.557	2.562	0.624
0	3	4.905	1.120	3.926	4.025	0.823

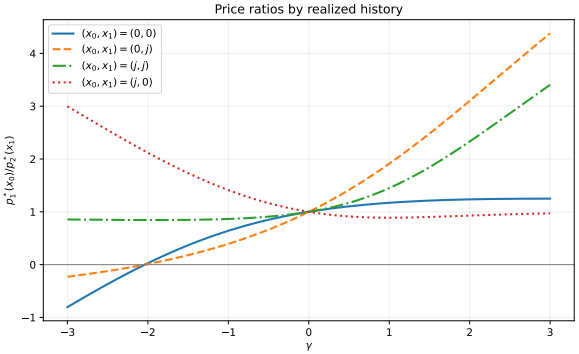
Back to Optimal Prices

Optimal Profit



Back to Optimal Prices

Optimal Price Ratio



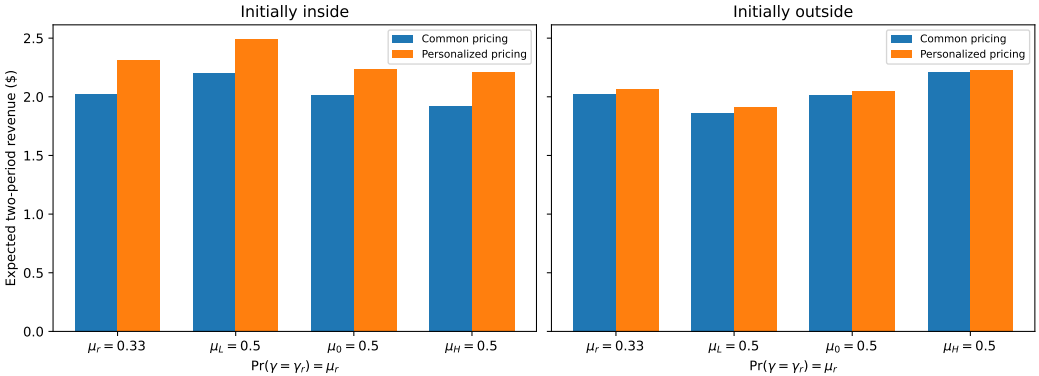
Back to Optimal Prices

Discussion

- Two mechanisms: Induce and harvest, Retain and gain
- Most profit from those who are habitual inside purchasers
- Least profit from those who purchase outside in period 1 across all levels of gamma
- Interesting when (j, j) and $(0, 0)$ cross

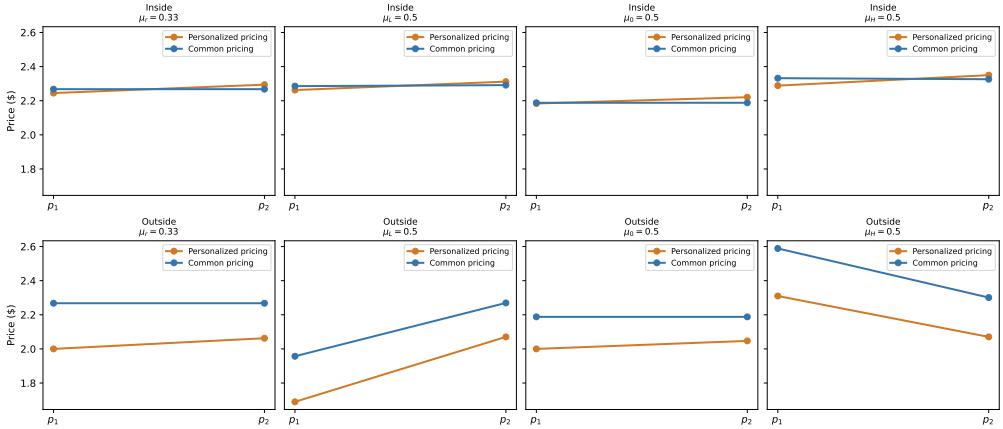
Back to Optimal Prices

Known versus Uncertain Switching Type



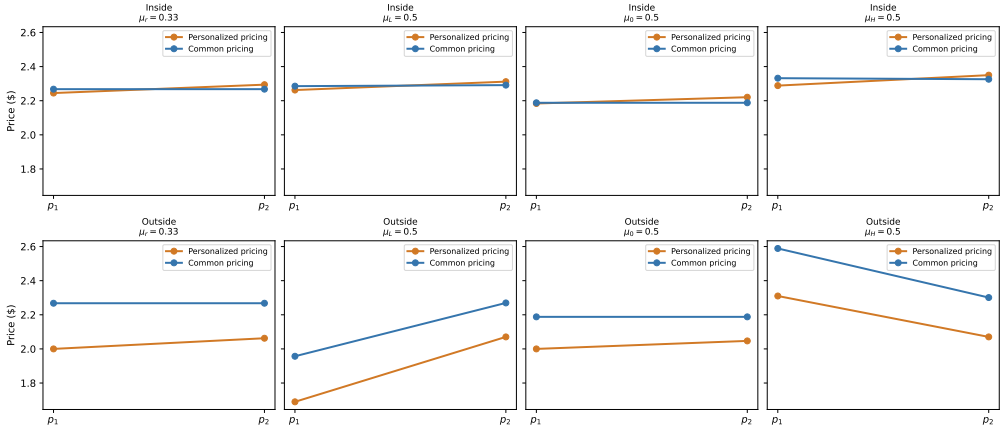
Back to Personalized vs Common Pricing

Type Uncertainty: Price Paths



▸ Back to Personalized vs Common Pricing

Type Uncertainty: Price Paths



▸ Back to Personalized vs Common Pricing

Probability and Shares

$$P_{ijt} = \frac{\exp\{V_{ijt}\}}{1 + \sum_{k \in J} \exp\{V_{ikt}\}}$$

$$\text{s.t. } V_{ijt} = U_{ijt} - \varepsilon_{ijt}$$

$$s_{jt} = \frac{1}{N} \sum_{n=1}^{N} P_{ijt}$$

- Use deterministic utility to form purchase probabilities
- Take average probability for product j across individuals $i \in N$ to recover shares

Back to Estimation

Demand: Price-Control Comparison

Table: Demand estimates with and without price controls; standard errors in parentheses

Parameter	No controls	With controls
Mean novelty	-0.7732 (0.0095)	-0.7861 (0.0091)
Mean habit	0.0369 (0.0002)	0.0373 (0.0002)
SD novelty	0.8003 (0.0085)	0.7999 (0.0082)
SD habit	0.0783 (0.0004)	0.0793 (0.0004)

Back to Estimation

Controlled Demand Estimates

Table: Demand estimates with price controls

Parameter	Estimate	Standard error
Inside constant β_0	1.4762	0.0072
Berry vs. other	-0.6556	0.0034
Plain vs. other	-0.1192	0.0066
Mean price coefficient $E[\alpha_i]$	-1.0349	0.0051
Mean novelty	-0.7861	0.0091
Mean habit	0.0373	0.0002
SD price coefficient $\mathrm{SD}(\alpha_i)$	0.7957	0.0063
SD novelty	0.7999	0.0082
SD habit	0.0793	0.0004
Price control ρ	0.1959	0.0047

Back to Estimation

Controlled Fit: Price First Stages

Table: Price first stages for the controlled specification

Flavor	IV slope	Cluster SE	F	Partial R^2
Other	-34.680	0.966	1288.26	0.0213
Berry	-33.105	1.377	578.20	0.0192
Plain	-28.585	3.085	85.87	0.0076

Back to Estimation

Estimates

Table: Demand estimates without price controls

Parameter	Estimate	Standard error
Inside constant β_0	1.2173	0.0035
Berry vs. other	-0.6241	0.0034
Plain vs. other	-0.2719	0.0054
Mean price coefficient $E[\alpha_i]$	-0.8940	0.0044
Mean novelty	-0.7732	0.0095
Mean habit	0.0369	0.0002
SD price coefficient $\mathrm{SD}(\alpha_i)$	0.9019	0.0099
SD novelty	0.8003	0.0085
SD habit	0.0783	0.0004

Back to Distributions

Discussion

- Mean novelty effect is equivalent to $\approx \$1.75$ increase
- Habit provides some utility
- Both plain and berry are less preferred than other flavors

How can the firm use the distribution of switching types to price discriminate?

Back to Distributions

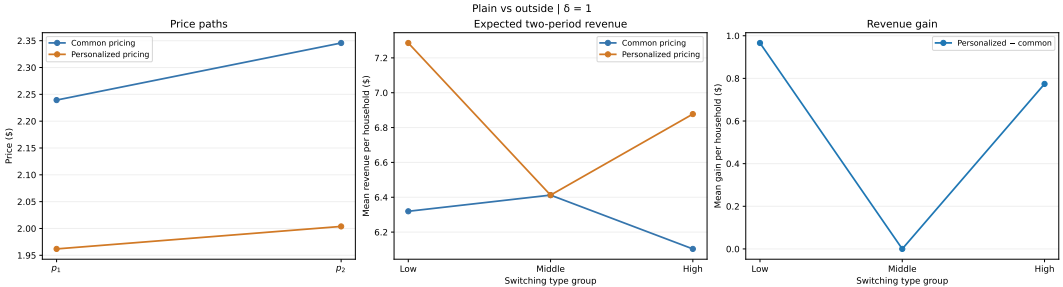
Controlled Fit: Willingness to Pay

Table: Implied willingness to pay with price controls

Utility term	Mean WTP	Population SD
Inside constant β_0	2.2696	1.7451
Berry vs. other	-1.0081	0.7751
Plain vs. other	-0.1832	0.1409
novelty	-1.2086	1.8083
own stock	0.0574	0.1600

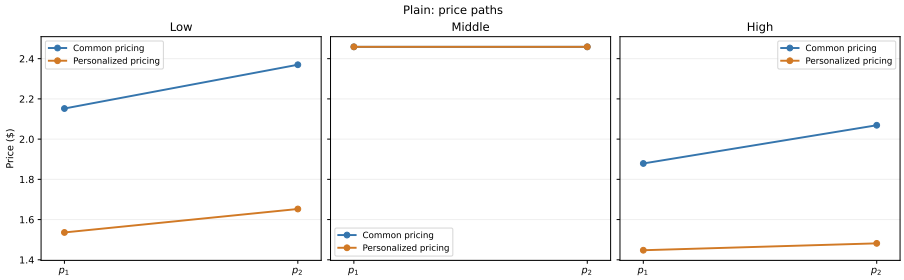
Back to Implied Willingness to Pay

Results: Plain Inside



Back to Revenue Gain

Plain: Optimal Offers by Consumer Type



Back to Price Paths